

FREE AND UNFETTERED COMPETITION

THE SHERMAN ANTITRUST ACT (1890)



IN CONTEXT

FOCUS

Commercial law

BEFORE

1776 Scottish economist Adam Smith's *The Wealth of Nations* defines competition as the absence of legal restraint on trade.

1882 Standard Oil combines several companies across the US into one large trust under chairman John D. Rockefeller.

1889 Canada passes the first competition statute, which addresses price fixing and monopolies.

AFTER

1890 The McKinley Tariff Act raises import duty to protect American companies from foreign competition.

1911 The US Supreme Court rules that Standard Oil is an illegal monopoly and orders it to break up.

In the United States in the late 19th century, a number of large “trusts” were formed. Trusts are created when business owners combine several different ventures into one overarching company. A trustee (or sometimes multiple trustees) is then appointed to work in the interests of the trust. By creating such bodies, companies are able to band together and collaborate to control the market by fixing prices and restricting competition. This puts a huge amount of power and wealth into the hands of just a few corporations and suppresses competition. One of the most powerful trusts in the US